UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2017/2018

APRIL EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 28 APRIL 2018 TIME: 2.00 PM – 5.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of **THREE (3) optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) Jalarge is a medium size company in Liverpool, United Kingdom that imports timber flooring from Australia. The company's purchase for 6 months period usually amounts to AUD150,000. Jalarge uses the timber flooring mainly for installation of commercial buildings in the vicinity of Liverpool and the industry standard with regards to credit period to settle any purchase is six months. The bank base rates in Australia is 7% and United Kingdom 12% per annum.

The following information are given:

Exchange rates	**Australian Dollar/Pound**
Spot	1.7500 – 1.8000
1 month	1.6500 – 1.7500
2 months	1.6000 – 1.6500
6 months	1.5950 – 1.6010

Option	**Exercise price**
6 Months call on Australian Dollar	1.5800
6 Months put on Australian Dollar	1.5800

Premium on call and put option is 1%.

Required:

Calculate the cost of hedging assuming the cost of capital is 10% using:

(i) Forward market hedge (2 marks)

(ii) Money market hedge (8 marks)

(iii) Option hedge (8 marks)

(iv) Evaluate which is the best hedging method for Jalarge given that each method has its own unique features. (4 marks)

(b) Currency options and futures are normally used to hedge the risk of a company like Jalarge. Explain when either of these instruments can be most appropriately used. (8 marks)

(c) Jalarge management has decided to invest a substantial sum abroad to expand its growth in line with its objective to be multinational enterprise in 5 years time. Discuss the strategic motives that may be driving this expansion plan. (10 marks)

[Total: 40 marks]

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Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) What is "One Belt One Road"? Critically discuss this initiative. (10 marks)

(b) The management of any company must first determine whether the company has a sustainable competitive advantage that enables it to compete effectively in the home market. Explain the necessary characteristics of this competitive advantage. (12 marks)

(c) Identify the **FOUR (4)** main types of transactions that cause transaction exposure to arise and explain the difference between operating exposure and transaction exposure. (8 marks)
[Total: 30 marks]

Q2. (a) Mega Bhd just constructed a manufacturing plant in United States. The construction cost $9 billion. Mega intends to leave the plant open for three years. During the three years, the cash inflows from US market operations are expected to be $3 billion each year for the first two years, followed by $2 billion, in year 3. Operating cash flows will begin one year from today, and remitted back to the parent at the end of each year. At the end of the third year, Mega Bhd expects to sell the plant for $5 billion. Mega Bhd has required rate of return of 17 percent. It currently takes $0.2600 to buy one Ringgit Malaysia (RM). As a result of narrowing market expectations for economic growth and monetary policy, the US dollar is expected to depreciate by 0.6% per year. Determine the NPV (in RM) for this project and decide whether Mega should build the plant. (10 marks)

(b) Fairfun Corp. is a U.S. firm that provides technology software for the government of Singapore. It will be paid S$7million at the end of each of the next five years. The entire amount of the payment represents earnings since Fairfun created the technology software years ago. Fairfun is subject to a 30 percent corporate income tax in the United States. Its other cash inflows (such as revenue) are expected to be offset by its other cash outflows (due to operating expenses) each year, so its profits on the Singapore contract represents its expected annual net cash flows. Its financing costs are not considered within its estimate of cash flows. The Singapore dollar (S$) is presently worth $0.60, and Fairfun uses the spot exchange rate as a forecast of future exchange rates.

The risk free interest rate in the United States is 6 percent, while the risk free interest rate in Singapore is 14 percent. Fairfun's capital structure is 60 percent debt and 40 percent equity. Fairfun is charged with an interest rate of 12 percent on its debt. Fairfun's cost of equity s based on the Capital Asset

Section B Q2. (b) (Continued)

Pricing Model (CAPM). It expects that the U.S. annual market return will be 12 percent per year. Its beta is 1.5.

Quantos Co., another U.S. firm, wants to acquire Fairfun and offers Fairfun a price of $10 million. Fairfun's owner must decide whether to sell the business at this price and hires you to make a recommendation. Estimate the Net Present Value (NPV) for Fairfun as a result of selling the business, and make recommendation about whether Fairfun's owner should sell the business at the price offered.

(16 marks)

(c) Briefly discuss how the cost of capital can be affected by the characteristics of multinational corporations (MNCs). (4 marks)

[Total: 30 marks]

Q3. (a) Explain how the domestic theory of optimal financial structure needs to be modified by four variables in order to accommodate the case of the multinational corporations (MNCs). (12 marks)

(b) Explain **FOUR (4)** techniques that can be used by MNCs to optimize cash flows. (8 marks)

(c) Indigo Bhd, a large corporation in Malaysia with RM5 million in excess cash, could invest in a one year deposit at 6 percent per annum, but, is attracted to higher interest rates in Australia. It creates a one-year deposit denominated in Australian dollars (AUD) at 9 percent per annum. The exchange rate of the Australian dollar at the time of the deposit is RM3.09. Calculate the yield (both in RM and percentage yield) on investment to Indigo Bhd if the exchange rate after one year has changed:

(i) RM3.12 per one AUD (7 marks)

(ii) RM 3.07 per one AUD (3 marks)

[Total: 30 marks]